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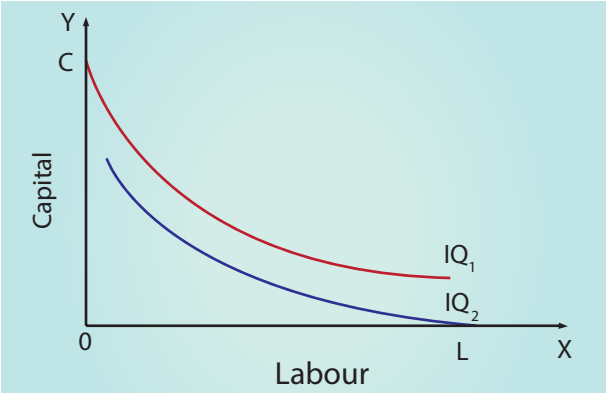

Diagram 3.9

3.9 The Iso-cost Line

The iso-cost line is an important component in analysing producer's behaviour. The iso-cost line illustrates all the possible combinations of two factors that can be used at given costs and for a given producer's budget. Simply stated, an iso-cost line represents different combinations of inputs which shows the same amount of cost. The iso-cost line gives information on factor prices and financial resources of the firm. It is otherwise called as "iso-price line" or "iso-income line" or "iso-expenditure line" or "total outlay curve".

Suppose that a producer has a total budget of ₹120 and for producing a certain level of output, he has to spend this amount on two factors Labour (L) and Capital (K). Prices of factors K is ₹30 and L is ₹10. Iso Cost Curve can be drawn by using the following hypothetical table.

As shown in Table, there are five combinations of capital and labour such as combination A represents 4 units of capital and zero units of labour and this combination costs ₹120. Similarly other combinations (B,C,D and E) cost same amount of rupees (₹120).

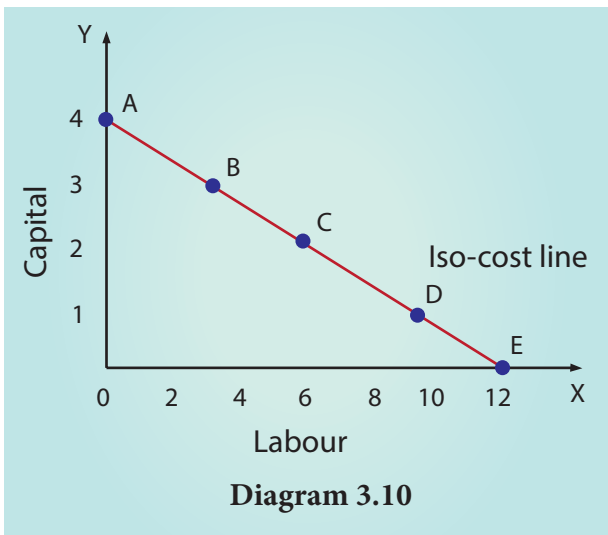

Diagram 3.10

Table 3.3 The Iso-cost

Combinations	Units of Capital Price = ₹30	Units of Labour Price = ₹10	Total Expenditure (in Rupees)
A	4	0	120
B	3	3	120
C	2	6	120
D	1	9	120
E	0	12	120